

Retail Research	IPO Note
Sector: Electronic Manufacturing Services	Price Band (Rs): 415 - 436
3 rd April 2023	Recommendation: Subscribe for long term Horizon

Avalon Technologies Limited

Company Overview:

The company is one of the leading fully integrated Electronic Manufacturing Services that provide end-to-end solutions in delivering box build in India in revenue terms, along with solutions in PCB, right from design to assembly of the complete electronic systems to the certain original equipment manufacturer located in United States, China, Netherland, and Japan.

Key Highlights:

Integrated Electronic Manufacturing Services Verticals: The company business verticals services has capabilities in areas of PCB design and assembly, cable assembly and wire harnesses, sheet metal fabrication and machining, magnetics components, logistics, injected moulded plastics, end to end box build of electronic systems that caters to various end-use industries that includes a mix of established and long term product lifecycle industries such as industrial, mobility and medical devices and high growth industries such as solar, EV and hydrogen in the clean energy sector and digital infrastructure on the communicators sector.

Strategically located: The company has 12 manufacturing facility located across United states and India, that gives them unique competitive advantage in the North American markets and enables to offer clients local manufacturing services across these locations depending on the needs of the client. The company also benefits from the **Product Link Incentive scheme** and leverage favourable policy initiatives such as the **'Make in India'** program of the Government of India, leading to high customer retention and cost-efficient manufacturing.

Well established production line: The company's production facilities are well-integrated spanning across manufacturing, warehousing and logistics. Electronic manufacturing facilities comprise an aggregate of 66 production lines, consisting of 11 Surface Mount Technology (SMT) lines, 12 Through Hole Technology (THT) lines and 43 assembly lines. Separate lines for sheet metal fabrication, machining, cable assembly and wire harnesses, magnetics and plastics injection moulding.

Diversified Customer Base and Robust Order Book: The company has maintained relationship with the existing customers and increased key customer base over time from 54 customers in FY20 to 62, 81 & 89 customers in FY21, FY22 and 8MFY23 respectively. As of 8MFY23, company's order book stands at robust Rs 1,190 cr (up 39% v/s FY22 closing order book). Some of the marquee customers includes Collins Aerospace, ATOS, Cummins, etc with Top 5/10 customer contributing 37%/54% to the topline.

Valuation:

The IPO, at the upper band of Rs 436, is valued at P/E multiple of 55.5x based on 8MFY23 annualised earnings on post issue capital. The IPO looks fairly priced across various valuation parameters when compared with its close peers. Investor can SUBSCRIBE the issue for long term investment perspective.

Issue Details	
Date of Opening	3 rd April 23
Date of Closing	6 th April 23
Price Band (Rs)	415 – 436
Issue Size (Rs cr)	865
No. of shares	2,08,43,373 – 1,98,39,450
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	2,725 – 2,847
BRLMs	JM Financial DAM Capital IIFL Securities Nomura
Registrar	Link Intime India Pvt Ltd
Bid Lot	34 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB (HNI) shares	15%
Employee Reservation	-
Employee Discount	-

Objects of Issue	
	(Rs Cr.)
Gross Proceed From Fresh Issue	320
(Less) Offer expenses in relation to the fresh issue*	-
Net Proceeds*	-

*The net proceed to be used for ,1)Repayment or Prepayment of Debt 2) Funding for working capital 3) General corporate purpose

Shareholding Pattern		
Pre Issue	No. of Shares	%
Promoter & Promoter Group	4,09,99,758	70.7
Public & Others	1,69,53,370	29.3
Total	5,79,53,128	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,30,72,047	50.4
Public & Others	3,25,91,924	49.6
Total	6,56,63,971	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,34,53,886	51.2
Public & Others	3,18,38,691	48.8
Total	6,52,92,578	100.0

Source: RHP, SSL Research

Risk Factors

- Any disruption in the continuous operations of the manufacturing facilities may adversely affect the business.
- The company purchase the raw material primarily on order basis. Any increase in the cost of raw material or components, delay, shortage, interruption or reduction in the supply of raw materials may affect the business.
- The company is dependent on few key customers for its business and any delay or curtailment in orders from them may impact the business
- Foreign exchange fluctuations may adversely affect earnings and profitability.
- The company business and results of operations are dependent on the contracts that they enter into and/or purchase orders that company enter into. Any breach of the conditions under these contracts may adversely affect business.

Growth Strategy

- Sustaining and catering to high-growth sunrise industry sectors such as clean energy and emerging communication technologies.
- Consolidate and expand position in global markets for existing industry verticals.
- Creating high growth opportunities for existing offerings.
- Focus on expanding local manufacturing presence in largest markets, namely the United States and India by leveraging country-specific government policy initiatives.
- Continue to build on a hybrid model of delivery leveraging access to high-value markets and low-cost production base.
- Invest in expanding technological capabilities and manufacturing capacities.

Revenue Break-up (Rs cr)

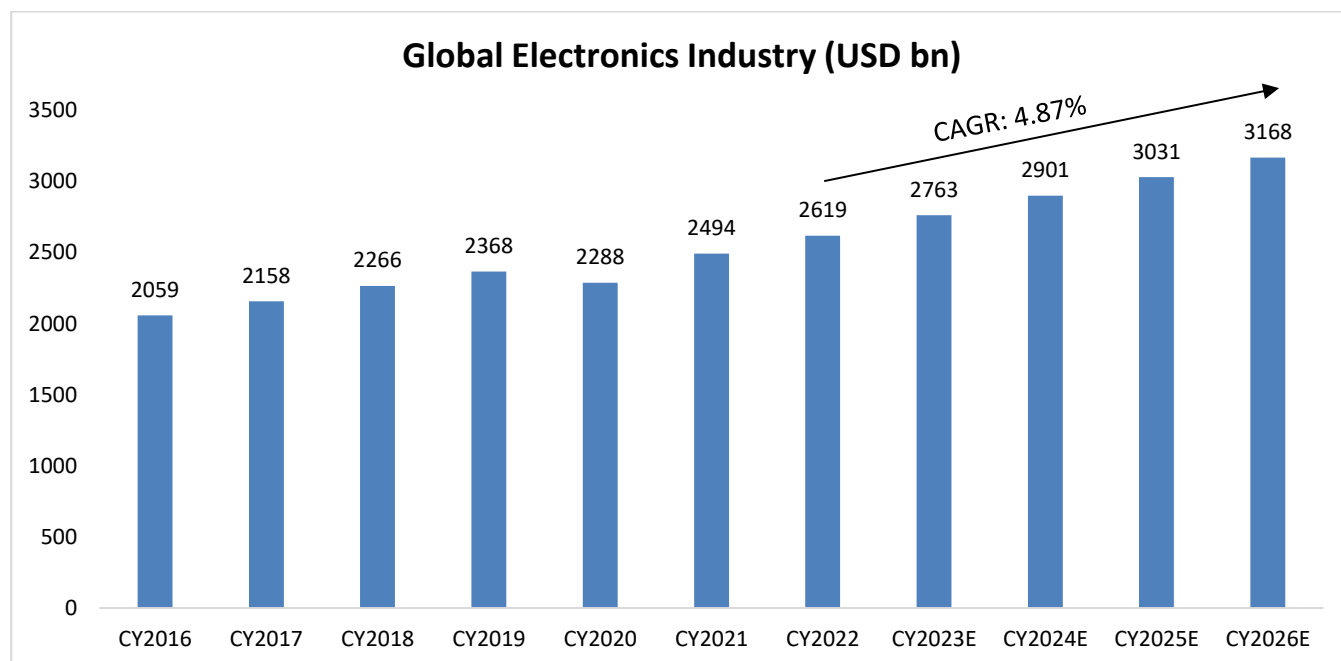
Sr no	Service Offerings	Revenue from operation									
		8MFY23		8MFY22		FY22		FY21		FY20	
		Rs cr	%	Rs cr	%	Rs cr	%	Rs cr	%	Rs cr	%
1	Design	13.6	2.3	12.2	2.3	18.5	2.2	15.1	2.2	14.0	2.2
2	Printed Circuit Board	194.0	33.2	135.5	25.0	296.2	35.2	242.9	35.2	228.6	35.6
3	Box build	281.9	48.2	303.0	56.0	374.0	44.5	327.7	47.5	283.1	44.1
4	Cables	57.6	9.8	51.3	9.5	84.6	10.1	63.5	9.2	54.5	8.5
5	Metals	22.4	3.8	19.8	3.7	35.2	4.2	29.1	4.2	45.5	7.1
6	Magnetics	10.7	1.8	16.1	3.0	26.6	3.2	8.8	1.3	6.8	1.1
7	Plastics	4.5	0.8	3.6	0.7	5.7	0.7	3.3	0.5	9.4	1.5
	Total	584.8	100.0	541.4	100.0	840.7	100.0	690.5	100.0	641.9	100.0

Source: RHP, SSL Research

Industry Overview

Global electronics industry

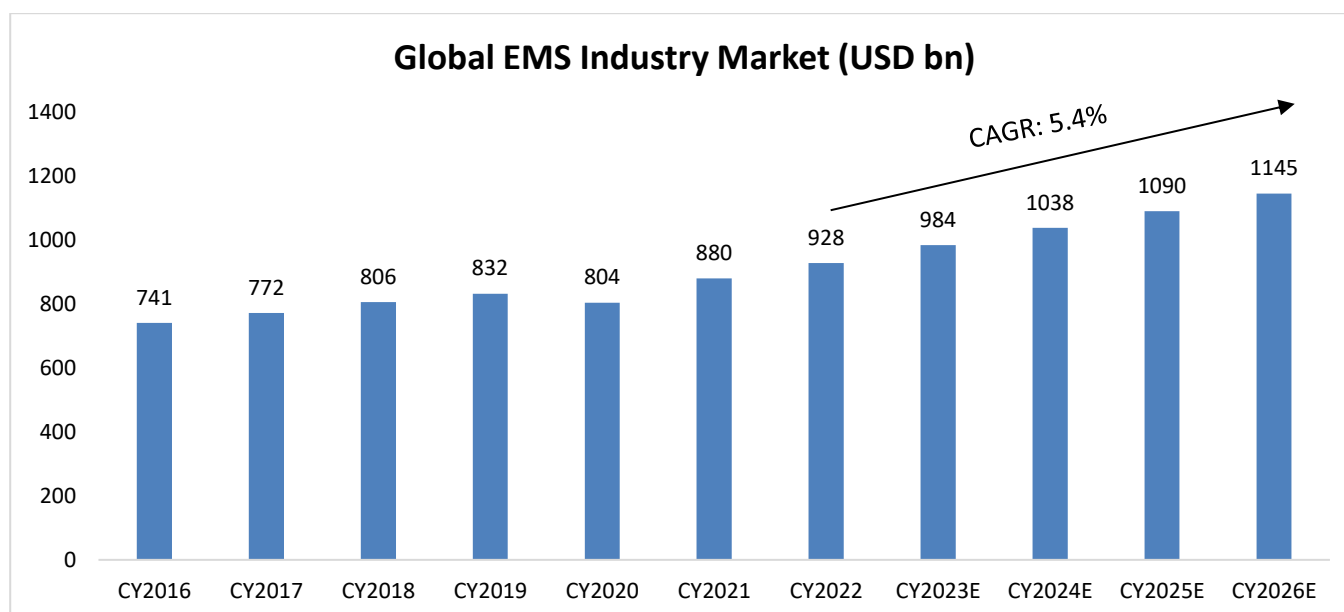
The global electronics industry was valued at USD 2,619 bn in CY22. As per Frost & Sullivan's analysis, the industry is expected to grow at a **CAGR of 4.9%** to reach USD 3,168 bn by CY26. Some of the critical factors driving this growth are increasing disposable income, higher internet penetration, inclination of the youth towards next generation technologies, the emergence of e-commerce etc.



Source: RHP, SSL Research

Global EMS industry market size

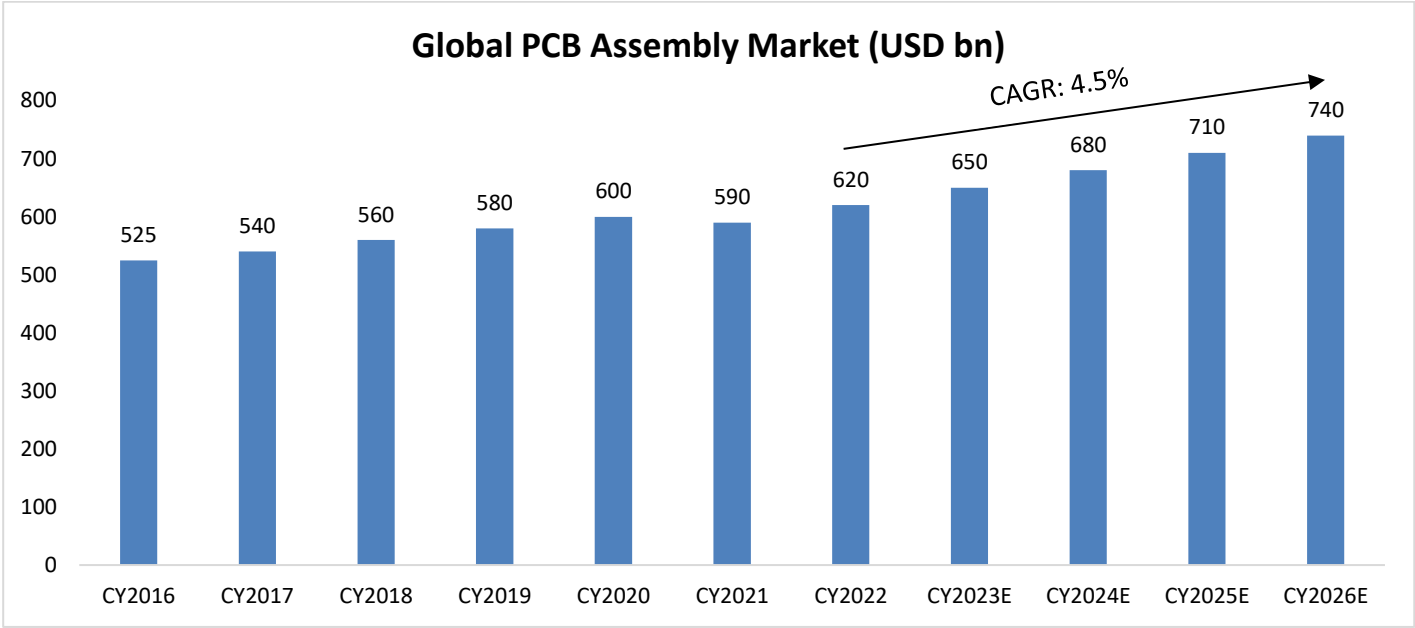
The global EMS market was estimated at USD 928 bn in CY22 and is expected to reach USD 1,145 bn in CY26, at an annual growth rate of 5.4%. The global EMS market witnessed a period of steady growth up to CY18, due to increased outsourcing activities from OEMs and increasing reliance on electronic components.



Source: RHP, SSL Research

Global PCB Assembly Market

PCBA is at the core of every electronic device: mobile phones, computers, tablets, routers, televisions, washing machines, refrigerators and air conditioners. Furthermore, PCBA constitutes a substantial portion of the cost of an electronic device, ranging from 10% to 50% of the bill of materials. Considering the cost implications and the universal use of PCBs in electronic devices, the development of manufacturing capabilities for PCBA is a must for a complete electronics manufacturing ecosystem. The PCBA market was valued at USD 620 bn in CY22 and is expected to reach USD 740 bn in CY26. The market is expected to grow at a CAGR of 4.5% to 2026.



Source: RHP, SSL Research

Financial Snapshot

Avalon Technologies Limited			
(Rs. Cr.)	Pre Issue	Post Issue	
	FY22	8MFY23 (Annualised)	
Particulars		Price Band	
	436.0	415.0	436.0
Net Sales	840.7	877.2	877.2
Total Income	851.7	895.5	895.5
EBIDTA	117.5	102.1	102.1
PAT#	68.2	51.3	51.3
Equity Share Capital	1.6	13.1	13.1
No of Equity Shares	0.8	6.6	6.5
Face Value	2.0	2.0	2.0
EPS	85.4	7.8	7.9
CMP	436.0	415.0	436.0
Cash and Bank	10.1	331.9	331.9
Debt	294.1	316.4	316.4
Market Cap	-	2,725.1	2,846.8
BV per share (Rs)	109.2	71.2	71.7
PE(x)	5.1	53.1	55.5
P/BV (x)	4.0	5.8	6.1
Enterprise Value	632.1	2,709.6	2,831.3
Mcap/Sales (x)	0.4	3.1	3.2
EV/Sales (x)	0.8	3.1	3.2
EV/EBIDTA (x)	5.4	26.5	27.7
EBITDA Margins (%)	14.0	11.6	11.6
Net Margins (%)	8.1	5.8	5.8
ROE (%)	118.1	18.5	18.5
ROCE (%)	31.6	17.5	17.5
Debt/Equity	3.4	0.7	0.7
Net worth	87.2	467.8	467.8

Source: RHP, SSL Research (Post Issue)

Year	FY20	FY21	FY22	8MFY23
Net Sales	641.9	690.5	840.7	877.2
EBITDA	64.5	66.1	117.5	102.1
Net Profit	12.3	23.1	68.2	51.3
EBITDA Margin (%)	10.0	9.6	14.0	11.6
Net Profit Margin (%)	1.9	3.3	8.1	5.8

Source: RHP, SSL Research

Peer Comparison

Company	Avalon Technologies Ltd.	Amber Enterp.	Dixon Technolog.	Kaynes Tech	Syrma SGS Tech.
CMP (Rs)	436.0	1,824.6	2,861.3	962.8	262.6
M.Cap (Rs Crs)	2,846.8	6,226.0	17,117.0	5,884.0	4,678.0
Sales (Rs Cr)	877.2	5,861.2	12,079.3	1,000.0	1,740.1
EBITDA (Rs Cr)	102.1	339.7	473.9	149.0	155.5
Net Profit (Rs Cr)	51.3	110.4	237.8	73.8	93.4
EBITDA Margin (%)	11.6	5.8	3.9	14.9	8.9
PE (x)	55.5	55.7	71.7	75.9	49.7
RoE (%)	18.5	6.7	22.0	24.5	13.1
RoCE (%)	17.5	8.3	22.2	25.3	16.1

(Source: RHP, SSL Research)

For Avalon Technology: The data is 8MFY23 annualize

For all others, the data is based on TTM Dec'22 Earnings and RoE/RoCE is as per FY22

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